

Previous Year	$\frac{1050}{150}$	= 7 times
Latest Year	$\frac{1200}{160}$	= 7.5 times
Stock holding ratio:		
Previous Year	$\frac{150}{1050 \times 365}$	= 52.14 days
Latest Year	$\frac{160}{1200 \times 365}$	= 48.67 days

Nandan Switchgears Ltd. has successfully reduced inventory levels by 3.47 days of production and turned over stock 0.5 times more. This is usually good.

Investors should ascertain the reason for the improvement in stocks, i.e. is it because stocks have been dumped on dealers, due to difficulties in procuring stocks, or due to a strike in the manufacturing plants? As companies close down stock levels fall. Purchases are not made and existing stocks are sold. The reasons for the improvement in this ratio must therefore be ascertained. In addition, an investor should try and ascertain whether the existing level of stocks can support the level of sales a company has.